

24VECV05649 24VECV05649

County: los-angeles

Division: Civil Law and Motion

Department: I

Hearing date: 2026-09-22

Motion: DEMURRER WITH MOTION TO STRIKE TO CROSS-COMPLAINANTS HOMI HARDWOOD FLOORS, INC. AND NATHALIE DINA'S CROSS-COMPLAINT

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Case Number: 24VECV05649 Hearing Date: September 22, 2026 Dept: I

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

COUNTY
OF LOS ANGELES

OLD MASTER
PRODUCTS, INC., a California corporation, et al.,

Plaintiffs,

vs.

SHAUL DINA, an individual, et al.

Defendants.

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CASE

NO: 24VECV05649

[TENTATIVE]

ORDER RE: DEMURRER WITH MOTION TO STRIKE TO CROSS-COMPLAINANTS HOMI HARDWOOD
FLOORS, INC. AND NATHALIE DINA'S CROSS-COMPLAINT

Dept.

I

HEARING

DATE: September 11, 2026

TIME: 8:30 A.M.

COMPLAINT

FILED: November 14, 2024

TRIAL

DATE: None set

I.

BACKGROUND

This is a fraud action arising out of the alleged misappropriation and conversion of Plaintiff Old Master Products, Inc.'s ("OMP") funds. On November 14, 2024, Plaintiffs OMP and Jim Hilaski ("Hilaski") (collectively, "Plaintiffs") filed a Complaint against Defendants Shaul Dina; Danielle Dina; and DOES 1 through 20, asserting causes of action for: (1) Fraud; (2) Breach of Fiduciary Duty; (3) Aiding and Abetting Breach of Fiduciary Duty; (4) Conversion; (5) Action for Accounting; and (6) Violation of Penal Code Section 496.

On February 10, 2024, Plaintiffs filed a Notice of Related Case. On February 13, 2025, this action and Los Angeles Superior Court Case No. 25STCV02726 (Jasonn International, LLC v. Old Master Products, Inc.) were deemed related.

On May 12, 2025, Hilaski filed a First Amended Complaint ("FAC"), individually and derivatively on behalf of OMP against Defendants Shaul Dina; Danielle Dina; Jasonn International, LLC ("JIL") and DOES 1 through 20, asserting causes of action for: (1) Fraud; (2) Breach of Fiduciary Duty; (3) Aiding and Abetting Breach of Fiduciary Duty; (4) Conversion; (5) Aiding and Abetting Conversion; (6) Conversion – Hilaski in individual capacity; (7) Action for Accounting; (8) Removal of Director under Cal. Corp. Code Section 304; (9) Violation of Penal Code Section 496; and (10) Defamation – Hilaski in individual capacity.

On June 30, 2025, JIL filed a Demurrer to the FAC. The matter was fully briefed and came for hearing on August 15, 2025; the demurrer was overruled in its entirety. On September 9, 2025, JIL filed an Answer to the FAC.

On July 1, 2025, OMP filed an Answer to the FAC as a nominal defendant.

On September 24, 2025, Plaintiff filed an Ex Parte Application for Leave to File Second Amended Complaint ("SAC") and Order to Show Cause re Temporary Restraining Order. The matter came for hearing on

October 3, 2025; the Ex Parte Application was granted.

On September 25, 2025, Hilaski filed the SAC, individually and derivatively on behalf of OMP against Defendants Shaul Dina; Danielle Dina; Nathalie Dina; JIL; Li Liu ("Liu"); Chenguang Li ("Li"); Homi Hardwood Floors, Inc. ("Homi"); and DOES 1 through 20 (collectively, "Defendants"), asserting causes of action for: (1) Fraud; (2) Breach of Fiduciary Duty; (3) Aiding and Abetting Breach of Fiduciary Duty; (4) Conversion; (5) Aiding and Abetting Conversion; (6) Conversion – Hilaski in individual capacity; (7) Action for Accounting; (8) Removal of Director under Cal. Corp. Code Section 304; (9) Violation of Penal Code Section 496; (10) Intentional Interference with Prospective Economic Relations; and (11) Unfair Competition in Violation of Business & professions Code Section 17200.

On October 29, 2025, JIL filed an Answer to the SAC.

On December 1, 2025, Defendants Nathalie Dina and Homi filed a Demurrer to the SAC. On the same day, Defendants Shaul Dina and Danielle Dina also filed a Demurrer with Motion to Strike the SAC. Defendants Nathalie Dina and Homi's demurrer was fully briefed and came for hearing on January 28, 2026; the demurrer was overruled in its entirety.

On February 26, 2026, Defendants Nathalie Dina and Homi filed their Answer to the SAC.

Defendants Shaul Dina and Danielle Dina's demurrer and motion to strike came for hearing on March 5, 2026; the demurrer was sustained with leave to amend for the limited purpose of including the shareholder agreement and the motion to strike was denied.

On April 7, 2026, Hilaski filed the operative Third Amended Complaint ("TAC"), individually and derivatively on behalf of OMP against Defendants in accordance with the March 5, 2025 order.

On May 19, 2026, Defendants Nathalie Dina and Homi filed their Answer to the TAC and Cross-Complaint against Hilaski; Andy Aguilar ("Aguilar"); Jose Zaldivar ("Zaldivar"); Marciela Brito ("Brito"); and ROES 1 through 20 (collectively, "Cross-Defendants") asserting causes of action for: (1) Intentional Interference with Prospective Economic Advantage; (2) Intentional Interference with Contractual Relations; (3) Unfair Competition (Business &

Professions Code § 17200 et seq.); and (4) False Advertising (Business & Professions Code § 17500 et seq.).

On May 20, 2026, JIL filed its Answer to the TAC.

On July 22, 2026, Cross-Defendants Hilaski, Aguilar, Zaldivar and Brito filed the instant Demurrer with Motion to Strike the Cross-Complaint.

On August 25, 2026, Defendants Nathalie Dina and Homi (hereinafter, “Cross-Complainants”) filed an Opposition. On August 31, 2026, Cross-Defendants filed a Reply.

II.

LEGAL

STANDARD

Demurrer

“The

primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights.” (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)

“A demurrer tests

the legal sufficiency of the factual allegations in a complaint.” (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether “the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (Id.) The Court does not “read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint ‘as a whole and its parts in their context.’ [Citation.]” (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court “assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (Harris, supra, 56 Cal.4th p. 240.)

“The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A

general demurrer may be brought under Code of Civil Procedure section 430.10,

subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A

demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.) “[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave

to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

Motion to Strike

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e).” (Code Civ. Proc., § 435, subd. (b)(1).)¿¿

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.” (Code Civ. Proc., § 436, subd. (a); see also Stafford v. Shultz (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”.].)¿

The court may also strike all or any part of any pleading not drawn or filed in conformity with California law, a

court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) An immaterial or irrelevant allegation is one that is not essential to the statement of a claim or defense; is neither pertinent to nor supported by an otherwise sufficient claim or defense; or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

III.

DISCUSSION

Meet and Confer

Prior to filing a demurrer and motion to strike, the demurring/moving party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer and motion to strike. (Code Civ. Proc., § 430.41; Code Civ. Proc., § 435.5.)

Cross-Defendants'

counsel of record, Craig J. Mariam, attests to the following meet and confer efforts: "I had a telephonic meet-and-confer with opposing counsel regarding the substance and nature of the Demurrer and Motion to Strike the afternoon of July 6, 2026. Opposing counsel indicated he intended to oppose the motions. I subsequently forwarded drafts of the aforementioned motions to opposing counsel in advance of the filing deadline as well. We did not hear anything further from opposing counsel in advance of filing." (Mariam Decl., ¶2.) Thus, the Court finds that Cross-Defendants have fulfilled their meet and confer obligation.

Demurrer

Cross-Defendants

demur to the all four causes of action alleged in the Cross-Complaint on the grounds that Cross-Complainants' fail to state sufficient facts to constitute causes of action against them.

First

Cause of Action for Intentional Interference with Prospective Economic Advantage

The elements of Intentional

Interference With Prospective Economic Relations claim are: “ ‘(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant.’ [Citations.]” (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1153.) Specifically, “intentionally interfering with prospective economic advantage requires pleading that the defendant committed an independently wrongful act.” (Ixchel Pharma, LLC v. Biogen, Inc. (2020) 9 Cal.5th 1130, 1142.) “[A]n act is independently wrongful if it is unlawful, that is, if it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard.” (Id.) Furthermore, the third party must be identifiable for purposes of determining whether the probability of future economic benefit to plaintiff existed. (See generally, Westside Center Associates v. Safeway Stores 23, Inc. (1996) 42 Cal.App.4th 507, 527; Roth v. Rhodes (1994) 25 Cal.App.4th 530, 546.) Essentially, “[a]n actual economic relationship with a third party is required, and liability cannot be premised on the more speculative expectation that a potentially beneficial relationship will arise in the future.” (Muddy Waters, LLC v. Superior Court (2021) 62 Cal.App.5th 905, 926 [internal quotations omitted].) However, the third party does not need to be identified by name. (Westside Center Associates, supra, 42 Cal.App.4th 527.)

The Cross-Complaint alleges, inter alia, that Cross-Defendants engaged in a coordinated course of conduct directed at Homi's existing and prospective customers in order to interfere with Homi's economic relationships in Southern California and obtain competitive advantage through improper means. (Cross-Compl., ¶¶2, 5-8, 14, 23, 25-29, 36-37.) Homi and the competing hardwood flooring business operated, managed, and controlled by Cross-Defendants compete in the same market for hardwood flooring products. (Id., ¶13.) Beginning in or about early 2026, Aguilar, Zaldivar, and Brito, acting at the direction and under the authority of Hilaski, engaged in communications with customers and prospective customers of Homi during

commercial sale visits. (Id., ¶17.)

For example, Aguilar made statements to customers that “HOMI was involved in a customer dispute involving a container shipment, that HOMI had improperly copied competitor products, that Hugo Perez had stolen money from OMP and was terminated for that reason, and that HOMI and its representatives were unreliable in fulfilling customer orders and were untrustworthy.” (Cross-Compl., ¶¶18, 20-21, 24.) Specifically, in or about March 2026, during a sales visit to a shared customer, Aguilar observed Homi samples displayed alongside competing products and stated to the customer, “Wow, you deal with them? They burned someone with a container.” (Id., ¶19.) These statements were false and misleading, and made without factual basis. (Id., ¶22.) Similarly, Zaldivar falsely stated to a customer that Homi had committed theft, its owners were dishonest, and Homi was operating unlawfully and improperly. (Id., ¶21.)

Cross-Defendants knew of Homi’s existing prospective economic relationships. (Cross-Compl., ¶39.) Despite that knowledge, Cross-Defendants intentionally engaged in wrongful conduct designed to disrupt those relationships. (Id., ¶40.) Cross-Defendants knew disruption of Homi’s economic relationships was certain or substantially certain to occur as a result of their conduct. (Id., ¶42.) Homi was actually and proximately harmed by Cross-defendants’ conduct. (Id., ¶45.)

Taking these allegations as true, the Cross-Complaint does plead sufficient facts to support the first cause of action as to all Cross-Defendants. The Cross-Complaint alleges specific statements that Aguilar and Zaldivar made to Homi’s customers and prospective customers during commercial sale visits regarding their business practices and product quality. Although the Cross-Complaint does not allege any specific statements made by Brito to any of Homi’s customers and/or prospective customers, the Cross-Complaint does allege that Brito “acted in concert with and/or as the agent, employee, or representative of HILASKI and the other Cross-Defendants” to disrupt Homi’s prospective economic relationships. (Cross-Compl., ¶18.) Moreover, the Cross-Complaint alleges that Aguilar and Zaldivar were acting within the course and scope of agency, employment, and/or representative capacity for Hilaski and other Cross-Defendants when they participated in the scheme to harm Homi’s prospective economic relationships. (Cross-Compl., ¶¶6-7.) Such allegations are sufficient under California law. (See *Garton v. Title Ins. & Trust Co.* (1980) 106 Cal.App.3d 365, 376 [“Plaintiffs alleged that each of the

defendants were the agents and employees of each other and were acting in the course and scope of their agency, employment and authority and with the permission and consent of their codefendants in committing the acts alleged. This is a sufficient allegation of an agency relationship.”].)

Accordingly, the demurrer to the first cause of action is OVERRULED.

Second Cause of Action for Intentional Interference with Contractual Relations

“To prevail on a cause of action for intentional interference with contractual relations, a plaintiff must plead and prove (1) the existence of a valid contract between the plaintiff and a third party; (2) the defendant's knowledge of that contract; (3) the defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” (Reeves v. Hanlon (2004) 33 Cal.4th 1140, 1148.) “To establish the claim, the plaintiff need not prove that a defendant acted with the primary purpose of disrupting the contract, but must show the defendant's knowledge that the interference was certain or substantially certain to occur as a result of his or her action.” (Id.)

The Cross-Complaint alleges, inter alia, that Homi had valid and enforceable contracts with certain customers for the purchase and delivery of hardwood flooring products. (Cross-Compl., ¶¶49-50.) Cross-Defendants knew of Homi's contractual relationships with its customers. (Id., ¶51.) Despite that knowledge, Cross-Defendants intentionally engaged in conduct designed to induce disruption or breach of those contracts including making false and misleading statements concerning Homi's reliability and business practices. (Id., ¶52.) As a result of Cross-Defendants' conduct, one or more customers delayed, canceled, reduced, or otherwise disrupted their contractual relations to Homi. (Id., ¶53.) Consequently, Homi suffered damages in an amount known to exceed \$750,000.00. (Id., ¶55.)

Taking these allegations as true, the Cross-Complaint does plead sufficient facts to support the second cause of action as to all Cross-Defendants. The Cross-Complaint alleges that Homi had valid and enforceable purchase agreements with certain customers for hardwood flooring products; Cross-Defendants knew about these contracts; Cross-Defendants intentionally engaged in conduct, i.e., making purportedly

false statements to Homi's customers and prospective customers about Homi's business practices and product quality; and Homi was harmed by such conduct because their customers delayed, canceled, and reduced their contractual relations with Homi. Cross-Defendants cite to no legal authority that requires Cross-Complainant to plead the specific name of the third party to the contracts and/or the contractual terms. On the other hand, it is true that "to state a claim for interference with an at-will contract by a third party, the plaintiff must allege that the defendant engaged in an independently wrongful act." (Ixchel Pharma, LLC v. Biogen, Inc. (2020) 9 Cal.5th 1130, 1148.) The Cross-Complaint does just that. As discussed above, the Cross-Complaint alleges that Aguilar and Zaldivar at the direction of Hilaski made false statements about Homi's business practices and product quality to Homi's customers, who had valid and enforceable contractual agreements to purchase hardwood flooring products from Homi.

Accordingly, the demurrer to the second cause of action is OVERRULED.

Third Cause of Action for Violation of Business & Professions Code Section 17200

"To bring a UCL claim, a plaintiff must show either an (1) 'unlawful, unfair, or fraudulent business act or practice,' or (2) 'unfair, deceptive, untrue or misleading advertising.' " (Adhav v. Midway Rent A Car, Inc. (2019) 37 Cal.App.5th 954, 970.) " 'Unlawful' conduct includes any business practice or act forbidden by local, state or federal statutes or by regulations or case law. [Citation]." (Id.) " 'a UCL fraud plaintiff must allege he or she was motivated to act or refrain from action based on the truth or falsity of a defendant's statement, not merely on the fact it was made.' [Citation]." (Id.) Generally, a plaintiff alleging unfair business practices under these statutes must state with reasonable particularity the facts supporting the statutory elements of the violation." (Khouri v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.) However, "the conduct needed to maintain a statutory or common law unfair competition cause of action may consist of a tortious interference with business relations." (Angelica Textile Services, Inc. v. Park (2013) 220 Cal.App.4th 495, 510.) Further, "[w]hether a practice is deceptive, fraudulent, or unfair is generally a question of fact which requires 'consideration and

weighing of evidence from both sides' and which usually cannot be made on demurrer." (Linear Technology Corp. v. Applied Materials, Inc. (2007) 152 Cal.App.4th 115, 135.)

The Cross-Complaint alleges, inter alia, that Cross-Defendants engaged in unlawful and unfair business acts and practices by (1) engaging in wrongful interference with prospective economic advantage and (2) using false and misleading factual representations in the marketplace to divert customers from a direct competitor. (Cross-Compl., ¶¶58-60.) Homi suffered injury in fact, and lost money or property as a result of Cross-Defendants' unfair competition. (Id., ¶61.)

Taking these allegations as true, the Cross-Complaint sufficiently alleges facts to support the third cause of action. In fact, the Cross-Complaint alleges that Cross-Defendants engaged in tortious interference with Homi's business relations. To the extent that Cross-Defendants argue that the Cross-Complaint seeks remedies not available under a UCL claim, the Cross-Complaint alleges that Homi seeks restitution and injunctive relief. (Cross-Compl., ¶¶62-65.) With respect to the request for disgorgement of monies and economic benefits wrongfully obtained by Cross-Defendants as a result of the alleged tortious interference conduct (Cross-Compl., ¶¶62, 65), restitutionary disgorgement is an available remedy for an UCL claim. (See Madrid v. Perot Systems Corp. (2005) 130 Cal.App.4th 440, 460 ["The California Supreme Court has held that, while restitutionary disgorgement may be an available remedy under the UCL, nonrestitutionary disgorgement is not available in a UCL individual action or in a UCL representative action (i.e., an action by an individual plaintiff on behalf of others without being certified as a class action)."].)

Accordingly, the demurrer to the third cause of action is OVERRULED.

Fourth Cause of Action for False Advertising under
Business & Professions Code Section 17500

"California's FAL prohibits any 'unfair, deceptive, untrue, or misleading advertising.' " (Ketayi v. Health Enrollment Group (S.D. Cal. 2021) 516 F.Supp.3d 1092, 1129.) "California laws prohibit not only advertising which is false, but also advertising which[,] although true, is either actually misleading or which has a capacity, likelihood or tendency to deceive or confuse the public." (Id.)

“To state a claim under the UCL, FAL, and CLRA, [Plaintiff] must allege facts satisfying the ‘reasonable consumer’ standard, i.e., that members of the public are likely to be deceived.” (LeGrand v. Abbott Laboratories (N.D. Cal. 2023) 655 F.Supp.3d 871, 890.) “ ‘Likely to deceive’ implies more than a mere possibility that the advertisement might conceivably be misunderstood by some few consumers viewing it in an unreasonable manner.” (Id.) “Rather, the phrase indicates that the ad is such that it is probable that a significant portion of the general consuming public or of targeted consumers, acting reasonably in the circumstances, could be misled.” (Id.) “In determining whether a statement is misleading under the statute, ‘the primary evidence in a false advertising case is the advertising itself.’ ” (Id.) “Generalized, vague, and unspecified assertions constitute ‘mere puffery’ upon which a reasonable consumer could not rely, and hence are not actionable.” (Oestreicher v. Alienware Corp. (N.D. Cal. 2008) 544 F.Supp.2d 964, 973.)

The Cross-Complaint alleges, inter alia, that Cross-Defendants in the course promoting and selling hardwood flooring products in competition with Homi, made false and misleading factual statements to customers and prospective customers concerning Homi’s business practices, reliability, and integrity. (Cross-Compl., ¶68.) These statements were made for the purpose of inducing customers not to transact with Homi and instead transact with the competing business operated and controlled by Cross-Defendants. (Id., ¶69.) Cross-Defendants knew or should have known that these statements were false or misleading. (Id., ¶70.) As a direct and proximate result of these false and misleading statements, Homi suffered the loss of sales to prospective and existing customers. (Id., ¶71.)

Taking these allegations as true, the Cross-Complaint is devoid of any facts to support the fourth cause of action. There are no allegations that Cross-Defendants made false or misleading advertisements about their own products to induce the public, in this case, Homi’s existing and prospective customers to purchase its products. Cross-Complainants does not cite to any legal authority showing that California Business & Professions Code Section 17500 applies to false or misleading statements made as to a competitor’s

services and/or products. To the extent that Cross-Complainants intended to plead an FAL claim under California Business & Professions Code Section 17508, subdivision (a), the Cross-Complaint fails in that regard as well.

Pursuant

to California Business & Professions Code Section 17508, subdivision (a), "It shall be unlawful for any person doing business in California and advertising to consumers in California to make any false or misleading advertising claim, including claims that (1) purport to be based on factual, objective, or clinical evidence, (2) compare the product's effectiveness or safety to that of other brands or products, or (3) purport to be based on any fact." (Bus. & Prof. Code, § 17508, subd. (a) [emphasis added].) The Cross-Complaint does not allege that Cross-Defendants made false or misleading statements about its own products in comparison to the effectiveness or safety of Homi's products and/or services. The Cross-Complaint does not expressly invoke California Business & Professions Code Section 17508 as it only alleges California Business & Professions Code Section 17500. (Cross-Compl., ¶167.)

Accordingly,

the demurrer to the fourth cause of action is SUSTAINED with leave to amend.

Motion

to Strike

Cross-Defendants

moves for an order striking references to punitive damages; attorney's fees, and request for \$750,000.00 in damages in the Cross-Complaint on the grounds that: (1) Cross-Complainants fail to plead facts to supporting a request for punitive damages; (2) the request for \$750,000.00 in damages is irrelevant and improper; and (3) there is no contractual, statutory, or other basis for attorney's fees.

As to punitive damages, "[i]n order to

survive a motion to strike an allegation of punitive damages, the ultimate

facts showing an entitlement to such relief must be pled by a plaintiff." (Clauson

v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) The California Civil Code Section 3294, subdivision (a) authorizes punitive damages upon a showing of

malice, fraud, or oppression. Malice is defined as either "conduct which is intended by the defendant to cause injury to the plaintiff", or "despicable

conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code, § 3294, subd. (c)(1).) “Despicable conduct is conduct which is so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (Mock v. Michigan Millers Mutual Ins. Co. (1992) 4 Cal. App. 4th 306, 331.) Fraud under California Civil Code Section 3294, subdivision (c)(3) “means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code, § 3294, subd. (c)(3).) The California Civil Code Section 3294, subdivision (2) defines oppression as “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code, § 3294, subd. (2).) Punitive damages thus require more than the mere commission of a tort. (Taylor v. Superior Court (1979) 24 Cal.3d 890, 894-95.)

While the Cross-Complaint sufficiently alleges tortious interference with prospective economic advantage and existing contractual relations, it does not allege anything more. As held in Taylor, the mere commission of a tort including business torts will not support a claim for punitive damages.

As for the allegations that the damages amount are known to exceed \$750,000.00 and the exact amount will be proven at trial (Cross-Compl., ¶¶31, 34, 45, 55; Prayer for Relief at ¶1), these facts when read together are not contradictory as argued by Cross-Defendants. Both allegations indicate that the exact amount in damages suffered by Cross-Complainants is unknown but merely exceeds \$750,000.00. Therefore, Cross-Defendants fail to demonstrate that such allegations are irrelevant and/or improper.

Lastly, attorneys’ fees are not available unless authorized by statute or an agreement between the parties. (Code Civ. Proc., § 1021.) Here, Cross-Complainants’ concedes that California Business & Professions Code Sections 17200 and 17500 do not provide recover of attorney’s fees. (See Opp. re Mot. to Strike at 14:24-28.) Furthermore, Cross-Complainants’ do not address whether there is any contractual basis for attorney’s fees for its underlying claims, thus concedes on this issue. (See California Rules of Court Rule 3.1113(a); see also Rule

3.1320(f); Herzberg v. County of Plumas (2005) 133 Cal.App.4th 1,
20 [the party who fails to argue an issue abandons that issue].)

Accordingly, the motion to strike is GRANTED
with leave to amend as to the punitive damages and without leave to amend as to
the request for attorney's fees. The motion is denied as to the amount of
stated damages.

IV.

CONCLUSION

Based on the foregoing, Cross-Defendants
Jim Hilaski, Andy Aguilar, Jose Zaldivar
and Marciela Brito's Demurrer to Cross-Complainants Homi Hardwood Floors, Inc.
and Nathalie Dina's Cross-Complaint is
SUSTAINED with 30 days leave to amend as to the fourth cause of action only and
OVERRULED as to the remaining causes of action.

Cross-Defendants Jim Hilaski, Andy Aguilar, Jose Zaldivar and
Marciela Brito's Motion to Strike Cross-Complainants Homi Hardwood Floors, Inc.
and Nathalie Dina's Cross-Complaint is GRANTED with 30 days leave to amend as to
the punitive damages claim and without leave to amend as to the request for
attorney's fees. The motion is denied as
to the stated amount of damages.

Cross-Defendants Jim Hilaski, Andy Aguilar, Jose
Zaldivar and Marciela Brito to give notice.

Dated: September __,
2026

Hon. Karen Moskowitz

Judge
of the Superior Court